

tion was given to the debtor by charging the land and discharging the person" (i). Even where the debts [*526] *did in their nature carry interest, and the direction in a will was to pay "the debts owing by the testatrix's brother at the time of his death," but forty years had elapsed since the death of the brother, so that the interest if allowed would have amounted to more than double the principal, the Court thought the direction could not have been intended to include interest as well as principal (a).

2. **The trust deed does not make the debts specialties.** — It was once suggested by Lord Abinger that "if a man execute a trust of a term for the benefit of his creditors, the deed makes them mortgagees *if they execute it*, and so gives them a right to interest" (b); and it was held in some old authorities, that even in a deed to which the creditors were not parties, or in a trust created by will for payment of debts, the creditors were to be regarded as mortgagees and were entitled to interest (c); but the doctrine in the latter cases has long since been overthrown, and it is apprehended that the distinction taken by the Chief Baron cannot at the present day be supported (d). Again, it was said by Lord Hardwicke that "if a man *by deed* in his life creates a trust for payment of his debts, annexes a schedule of some debts, and creates a trust term for the payment, as that is in the nature of a *specialty*, it will make these, though simple contract debts, carry interest" (e). But this dictum also is not in conformity with the law as now established and cannot be maintained (f).

3. **Pearce v. Slocombe.** — But where A. and B. assigned their *joint property* to C., D., and E. upon trust, in the first

(i) *Hamilton v. Houghton*, 2 Bligh, 186; and see *Barwell v. Parker*, 2 Ves. 364; *Bath v. Bradford*, lb. 588.

(a) *Askew v. Thompson*, 4 K. & J. 620.

(b) *Jenkins v. Perry*, 3 Y. & C. 183.

(c) *Maxwell v. Wettenhall*, 2 P. W. 27; *Car v. Burlington*, 1 P. W. 229.

(d) *Barwell v. Parker*, 2 Ves. 364. It must be borne in mind, however, that the practice of the Court in the

Chancery Division gives simple contract creditors a right to interest from the date of the decree out of any surplus assets after paying all debts, and the interest of such as by law carry interest; see rules of Supreme Court, Ord. 55, R. 63.

(e) *Barwell v. Parker*, 2 Ves. 364.

(f) *Stone v. Van Heythuysen, Kay*, 721; *Clowes v. Waters*, 16 Jur. 632.